



As missiles and drones once again criss-cross the skies over the Middle East, global markets, rattled by the uncertainty unleashed by the US-Israel war on Iran, brace for the worst. For India, too, the flare-up has revived concerns over its external vulnerabilities and the possibility of a mini balance of payments (BoP) crisis, evoking memories of the pre-liberalisation era.

At its simplest, BoP is a measure of the money flowing into a country versus the money flowing out. Its first pillar is the current account, which tracks trade in goods and services, remittances from Indians working overseas and income from investments. The second is the capital account, which captures foreign investment—both direct investment (FDI) in businesses and portfolio investment (FPI) in financial instruments—as well as overseas borrowing and NRI deposits. For years, deficits on the current account were more than compensated by surpluses on the capital account. Not anymore.

India's current account deficit (CAD) widened to $30.2 billion (Rs 2.86 lakh crore) in FY26 from $23 billion (Rs 2.18 lakh crore) a year earlier. More troubling was the collapse in the capital account surplus, which shrank to a mere $72 million (Rs 685 crore). It was $89.4 billion (Rs 8.5 lakh crore) just two years ago. The result was a BoP deficit of $30.8 billion (Rs 2.92 lakh crore) in FY26, a steep drop from a surplus of $63.7 billion (Rs 6.05 lakh crore) in FY24, as per the Reserve Bank of India (RBI).

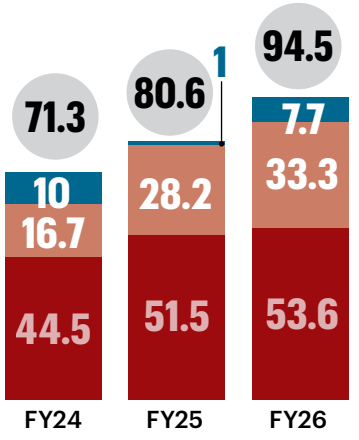
The issue came under sharp focus after Prime Minister Narendra Modi, in an address on May 10, urged citizens to cut back on spending on fuel, gold and foreign travel to reduce the outflow of money. He chose to invoke memories of the COVID-19 years to raise red flags about an economy perched on the edge of stagflation, marked by high inflation and slowing growth. The villain, in this case, was the Middle East crisis.

This is not to say that the situation is as dire as in 1991, when a BoP crisis triggered economic liberalisation. In May, India held foreign exchange reserves of nearly $697 billion (Rs 66.2 lakh crore), enough to cover around 10 months of imports. But the message is one of caution. Costlier oil and gas, pressure on remittances, rising capital outflows and a widening CAD have all weighed on the rupee, which has weakened from around 84 to the dollar a year ago to about 95 today. Concern over these pressures was serious enough for policymakers to unveil a slew of measures on June 5 aimed at shoring up fresh foreign capital.

THE CAPITAL DRAIN

Rising profit repatriation by MNCs and higher overseas investments by domestic firms have sharply eroded net FDI despite record inflow

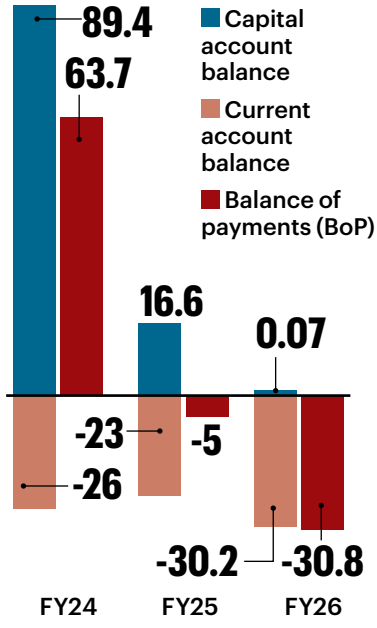
(All figures in $ bn)



THE BoP SQUEEZE

As India's trade and overseas payments outstrip earnings, the inflow of foreign capital is no longer providing the same cushion

(All figures in $ bn)



Source: RBI

HIT BY OUTFLOWS

On the face of it, FY26 should have been a strong year for foreign investment. Gross FDI inflows rose to a record $94.53 billion (Rs 8.98 lakh crore) from $80.6 billion (Rs 7.65 lakh crore) in FY25. But a closer look tells a different story. Net FDI, i.e. the amount left after accounting for repatriation by foreign firms and overseas investments by Indian companies, was down to just $7.65 billion (Rs 72,675 crore). In FY25, it had fallen below $1 billion, to $959 million (Rs 9,100 crore). Both figures were a far cry from the $30-40 billion (Rs 2.8-3.8 lakh crore) seen in the pre-pandemic years, notes Dhananjay Sinha, CEO and co-head, institutional equities, Systematix Group. The RBI does not disclose which companies repatriated funds, but the trend has fuelled concerns about India's ability to attract and retain long-term foreign capital.

"We need to distinguish between three components: one is gross FDI, second is repatriation and third is outward FDI," explains Madan Sabnavis, chief economist with the Bank of Baroda. Repatriation is the return of profits, dividends and proceeds from asset sales or disinvestment to investors' home countries. "This number has gone up sharply in the last couple of years, which means companies are taking out money to invest elsewhere or are paying their investors. They are ploughing back less," says Sabnavis. Such outflows

